Sedemac Mechatronics Ltd: Concall Tracker

Q1 FY27 update (Apr-Jun 2026) · Report date: 6 Nov 2026 · BSE 544723 · NSE SEDEMAC

Not investment advice. Do your own due diligence. No Q1 FY27 earnings call was held; this update reads the Q1 FY27 investor presentation used at the Aug-Sep 2026 analyst meets, plus exchange filings up to 30 Sep 2026.

1. Snapshot

What it does: designs and makes the electronic "brain boxes" (ECUs) that start, stop and run small engines and electric motors in scooters, motorcycles, three-wheelers and backup generators. Its edge is "sensorless" motor control, which drops a costly part that can fail. Its best seller is the ISG unit behind idle start-stop on two-wheelers. All technology is built in-house.

MARKET CAP

≈₹13,354 cr

Up from about ₹12,124 cr at our last report; price about ₹3,024.

Q1 FY27 REVENUE

₹310 cr

Up 43% on last year: sales grew by over two-fifths.

Q1 FY27 NET PROFIT

₹33 cr

Up 95%, close to double. Lower tax rate helped on top of growth.

EBITDA MARGIN

19.4%

Down from 21.2% a year ago: costlier chips and raw material, as management warned in May.

TRAILING-YEAR RETURN ON CAPITAL

42%

It earns about ₹42 a year on every ₹100 tied up, very high for a manufacturer.

P/E

≈104×

Very expensive: years of fast growth are already in the price.

2. Coverage

No Q1 FY27 earnings call was held. We checked the NSE filings for Jul to Sep 2026: there's no con-call notice, transcript or audio. Instead the company filed a Q1 FY27 investor presentation on 28 Jul 2026 and used it at group meetings and plant visits with fund houses (25 Aug, 9 Sep) and at an Axis Capital conference (10 Sep). Quartr's "Q1 26/27" entry is a results summary, not a call. So this update deep-reads that presentation and the filings around it.

Period	Source	Read?
Q4 FY26 (call 18 May 2026)	First listed-company earnings call	Carried forward from the Q4-2026 report
		Newly read in full ★

Q1 FY27 (28 Jul 2026)	Investor/analyst presentation incl. "FY27 outlook, Jul 2026 comments"; results	
Jul to Sep 2026	Volume press releases (2 Jul, 1 Sep), analyst-meet notices, GST search filings (8 and 12 Sep), MF3 start notice (25 Sep)	Newly read in full ★

The Q2 FY27 call (Nov 2026) falls outside this report's window and isn't used.

★ Latest update highlights: Q1 FY27 presentation (28 Jul 2026) and filings to 30 Sep

- **Revenue up 43%, profit nearly doubled.** Over the last twelve months revenue hit ₹1,151 cr and profit ₹120 cr. Read: the growth pace held up after the big FY26.
- **Volumes keep breaking records:** over 1.1 million ECUs sold in the quarter, up about 37%. That's the first quarter above a million motor controllers, and August 2026 was the first month above half a million ECUs. Read: real units, not just pricing.
- **Margin slipped, as flagged.** EBITDA margin fell to 19.4% from 21.2% on chip and commodity costs. Management expects it to "hold or improve" for the rest of FY27. Read: they called the dip in May and it came.
- **New plant MF3 started limited production on 25 Sep 2026**, inside the Q2 FY27 window promised in May. Read: the capacity they need for the next leg is arriving on time.
- **Watch:** a state GST search ran 8 to 11 Sep. The company says it has no material impact and no violation was disclosed.

Business mix & capacity
Domestic vs export: no new split given; last stated as over 90% India, with exports only in US generator controllers (about 8% of FY26 revenue). Mobility was ₹1,008 cr of trailing-year revenue and industrial ₹142 cr. Capacity: old plants were running at around 80-85% at the May call; MF3, about three times the old plant's floor space, began limited output on 25 Sep. Read: headroom is now opening up.

★ Since our last report (builds on the Q4-2026 report, call of 18 May 2026)
Prior verdicts: **Trigger YES · Consistency MAYBE**

Prior read	What we said then	What Q1 FY27 shows	Movement
Trigger	ISG penetration wave, already in numbers	Revenue up 43%, record volumes	Confirmed
Consistency	Only one listed call; candid but no track record	Flags from May landed as said (margin dip, MF3 timing)	Improving
ISG on 3 top-10 motorcycles	Two launches in Q1 FY27, third in Q4 FY27	One launch done, second "imminent"	Slightly slipping
MF3 plant	Ships Q2 FY27	Limited production from 25 Sep 2026	On-track
E2W controllers, export 3W ISG	Ramp-up in FY27	"Ramp-up in play"	On-track
Mild margin pressure	Chip and commodity costs	Margin down about two points	Confirmed

Verdict change: both unchanged. Consistency is leaning more positive, but one quarter without a call is still a thin record.

3. Earning trigger thesis

The driver is unchanged: more petrol two- and three-wheeler models are getting idle start-stop, and Sedemac's sensorless ISG is the default choice for three of the top four makers. Electric-vehicle motor controllers and

export three-wheelers are adding on top. Q1 showed it again, with volumes up strongly and the new plant opening to handle more. The main near-term drag is input costs, and the biggest risk is the price: at around a hundred times earnings, any slowdown would hurt.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
ISG penetration in petrol 2W/3W	All petrol 2W will eventually have ISG	Over 1.1 million ECUs in Q1, up about 37%	Multi-year, live	STRONG	Unchanged: still delivering
ISG on top-10 motorcycles	Three models, three big makers in FY27	One launched, one imminent, one Q4	FY27	STRONG	↓ slightly: second launch late
EV motor controllers	E2W ramp after Q3 FY26 start	"Ramp-up in play"; no figure	2-4 years	MODERATE	Unchanged
Export 3W ISG	Ramp after Q4 FY26 start	"Ramp-up in play"	FY27	MODERATE	Unchanged
New capacity (MF3)	Ship from Q2 FY27	Limited production 25 Sep	Now	STRONG	↑ improving: started on time

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY23-FY26	Widespread ISG adoption, capital-light growth	Sales up about 36% a year for three years, margins up	Delivered
May 2026	Two ISG motorcycle launches in Q1 FY27	One done, second "imminent" by late July	Partly
May 2026	Mild margin pressure from chips and commodities	Margin down about two points	Delivered (as warned)
May 2026	MF3 plant ships in Q2 FY27	Limited production from 25 Sep 2026	Delivered
May 2026	Weather risks (El Nino, US hurricanes)	"No adverse effect seen so far"	Too early

Narrative drift: none. They used May's outlook slide as the scorecard in July and marked each item honestly, including the launch that ran late. That's a good habit. The gap is format: no Q1 call, so there's no Q&A to test them, just slides and private meetings.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Nothing weakened it. Revenue up 43%, record unit volumes and the new plant running on time all confirm the ISG wave is still rolling. Watch the price: at around a hundred times earnings, a launch delay or cost squeeze matters a lot.

Management consistent? → MAYBE vs last quarter: unchanged

Leaning positive. Most of what they said in May came true, including the bad bits they warned of. One motorcycle launch ran a little late, and with no Q1 call there's still only one public Q&A on record. Two or three more quarters like this would make it a Yes.

Sources: SEDEMAC Q1 FY27 Investor/Analyst presentation (NSE filing, 28 Jul 2026); Q1 FY27 results (28 Jul 2026); press releases of 2 Jul and 1 Sep 2026; analyst-meet notices of 20 Aug, 5 Sep and 7 Sep 2026; GST search filings of 8 and 12 Sep 2026; MF3 start-of-production notice (25 Sep 2026); Screener.in quarterly data; Q4-2026 Concall Tracker report (18 May 2026 call) for backstory. Not investment advice.